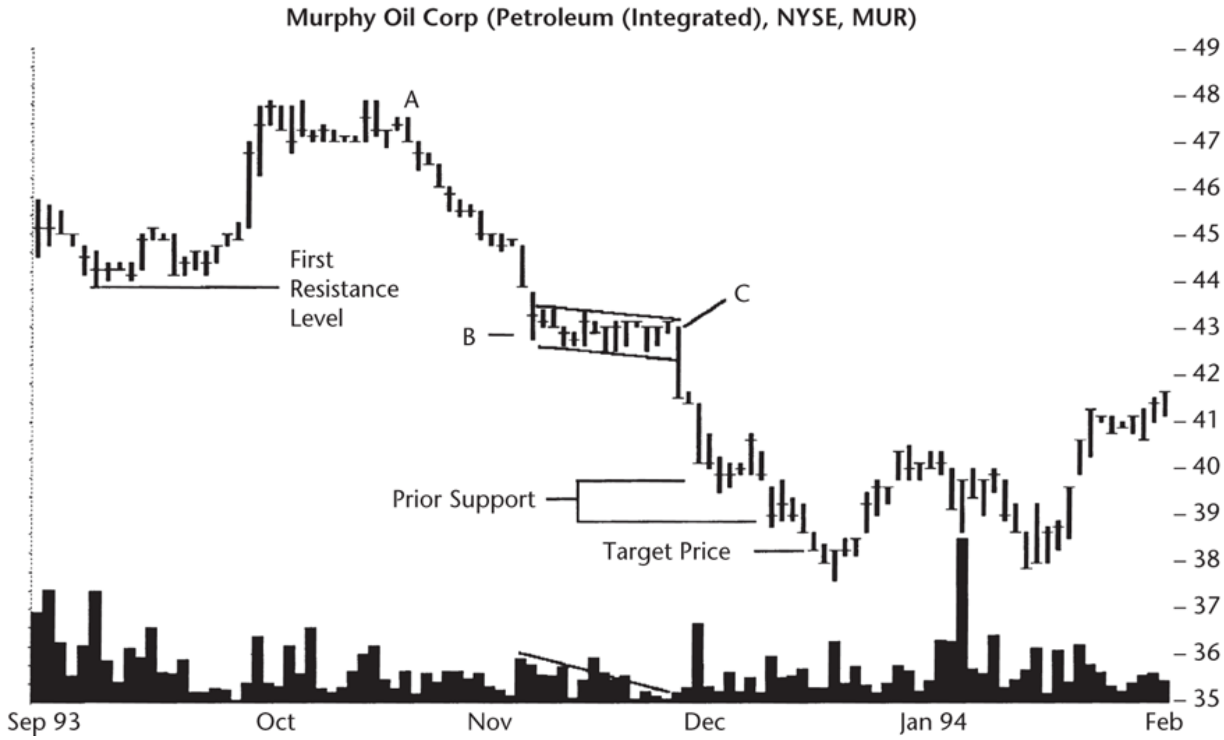

Figure 34.6 Use the measure rule to gauge the decline in this stock. Take the difference between the prior minor high (point A) to the formation low at the start (point B). Subtract the height from the high at the formation end (point C), and the result is the target.

Eventually the stock pierces the first support level and declines to the second one, where it gets stuck. It closes at 39 but the next day moves up. So the following day you decide to close out your position, believing that the risk of a price rise far exceeds the possible gain. Your short sale covers at 39, and you receive almost $3 a share. That is not a bad profit for a hold time of just 2 weeks. On an annualized basis, the return is … wonderful!